The investment value of a stock is the present worth of all the dividends to be paid upon it. This is best explained by John Burr Williams. A stock is worth only what you get out of it. A stock derives its value from its dividends. A cow for her milk, a hen for her eggs, bees for their honey, and stocks for their dividends[2]. The capital appreciation that takes place is seen primarily from the angle of bonus and right shares, which in turn increase the shareholding leading to higher dividends. As a result the shareholder's cash flow is augmented. The rise in stock price is secondary, as there is no intention of selling for capital gain. It is only satisfying to know that one can cash in on such a huge appreciation in times of need.

When investors follow this cash flow model of fundamental investing, it is always based on the premise that over a long period, the stock markets will go up irrespective of the turbulence. For them, bull and bear markets are part of the investment process. On the contrary, they wait for bear markets, as they are able to get bargains. There is also a strong belief that equity investments are the best hedge against inflation.

Capital Gains

When a stock goes up in value and one sells it at a profit, that gain is known as capital gain. When people buy stocks in the belief that the prices will go up and they will be able to make a profit, it is known as speculation. The price of a stock listed on the stock markets reflects the value of the fundamentals. Speculators bet on the market value of the fundamentals. Now, there are traders and speculators who buy and sell stocks according to their perception of the correct price of the stock based on the fundamentals. Say a company like Colgate is quoted at a price of Rs. 145. A trader may feel that according to the fundamentals of the company Rs. 145 is a low price and that the stock could go up. So he would buy that stock at Rs. 145. When it goes up he makes a profit, which is his capital gain. If it goes down he makes a loss.